(ii) It is incurred for maintaining the earning capacity of the business.
(iii) Its benefit expires in the same accounting period.
(iv) It is shown on the debit side of the trading and profit and loss account.

Examples

- Purchase of goods for resale.
- Administrative, selling and distribution expenses.
- Manufacturing expenses.



Student activity

Think: Identify and list down capital and revenue expenditures at home and at school.

11.6 Deferred revenue expenditure

An expenditure, which is revenue expenditure in nature, the benefit of which is to be derived over a subsequent period or periods is known as deferred revenue expenditure. The benefit usually accrues for a period of two or more years. It is for the time being, deferred from being charged against income. It is charged against income over a period of certain years.

11.6.1 Features of deferred revenue expenditure

Following are the features of deferred revenue expenditure:

(a) It is a revenue expenditure, the benefit of which is to be derived over a subsequent period or periods.
(b) It is not fully written off in the year of actual expenditure. It is written off over a period of certain years.
(c) The balance available after writing off (i.e., Actual expenditure - Amount written off) is shown on the assets side balance sheet.

Examples

- Considerable amount spent on advertising
- Major repairs to plant and machinery

11.7 Comparison of capital, revenue and deferred revenue expenditure

Following are the points of comparison among capital, revenue and deferred revenue expenditure:

Basis	Capital expenditure	Revenue expenditure	Deferred revenue expenditure
i) Nature	It is non – recurring in nature.	It is recurring in nature.	It is non- recurring in nature.
ii) Purpose	To contribute to the revenue earning capacity of the business.	To carry on the day to day activities of the business.	To get benefit for certain years.
iii) Period of benefits	Its benefit is available for a longer period.	Its benefit is obtained within one accounting period.	Its benefit is available for more than one accounting period.

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